

Gosree Finance Limited

September 23, 2026

Facilities/Instruments	Name of the Regulator ¹	Amount (₹ crore)	Rating ²	Rating Action
Long-term bank facilities	RBI	202.00 (Enhanced from 135.00)	CARE BBB-; Stable	Upgraded from CARE BB+; Positive

Details of instruments/facilities in Annexure-1.

Rationale and key rating drivers

Upgrade in the rating to long-term bank facilities of Gosree Finance Limited (GFL) factors in significant improvement in the company's scale of operations, strengthening its capital position and sustained profitability following change in ownership and management in September 2023. Since acquisition, the management has undertaken a comprehensive change of the business model, including portfolio clean-up, strengthening underwriting and collection processes, enhancement of technology infrastructure, geographic diversification and expansion of the lender base. Consequently, the company reported a sharp increase in business volumes, with asset under management (AUM) increasing to ₹248 crore as on June 30, 2026, from ₹116 crore as on March 31, 2025, while maintaining profitability with return on average total assets (ROTA) of 1.54% in FY26 and 1.45% (annualised) in Q1FY27.

Upgrade in the rating also considers the company's strengthened capitalisation profile, supported by equity infusion from the promoters and existing investors. Tangible net worth improved to ₹104 crore as on June 30, 2026, from ₹75 crore as on March 31, 2025, while capitalisation remained comfortable with a total capital adequacy ratio (CAR) of 42.95%. The strengthened capital base provides adequate headroom to support the company's growth plans and absorb potential portfolio stress.

The rating further derives comfort from the experienced management team led by Viswanathan Ramachandran and Shalini Warriar, both of whom bring extensive banking and financial services experience. The management team has demonstrated its ability to stabilise the business, improve governance practices, strengthen systems and processes, and restore profitability within a relatively short period following the acquisition.

The rating also factors in the improvement in GFL's funding profile through addition of new banking relationships and the company's ability to access institutional funding at competitive rates. The migration to an integrated technology and management information system (MIS) platform has strengthened portfolio monitoring, underwriting controls and operational oversight, supporting the company's growth trajectory.

However, the rating continues to be constrained by the company's relatively modest scale, geographical concentration in South India, limited seasoning of the recently originated portfolio, and execution risks associated with the planned rapid scale-up in operations. The company also remains exposed to asset quality risks arising from the residual unsecured micro, small and medium enterprise (MSME) portfolio, although the management has discontinued fresh origination in this segment and is progressively running down these exposures.

Rating sensitivities: Factors likely to lead to rating actions

Positive factors: Factors that could individually or collectively lead to positive rating action/upgrade:

- Significant scale-up in operations, with geographical and product diversification.
- Significant improvement in profitability with ROTA above 2.5% on a sustained basis.

Negative factors: Factors that could individually or collectively lead to negative rating action/downgrade:

- Weakening of capitalisation levels with overall gearing of above 3x on a sustained basis.
- Deterioration in asset quality with gross non-performing assets (GNPA) above 3%.
- Deterioration in profitability with ROTA below 1%

Analytical approach: Standalone

¹SEBI: Securities and Exchange Board of India; RBI: Reserve Bank of India; MCA: Ministry of Corporate Affairs; IRDAI: Insurance Regulatory and Development Authority of India; PFRDA: Pension Fund Regulatory and Development Authority

²Complete definitions of the ratings assigned are available at www.careratings.com and in other CARE Ratings Limited's publications.

Outlook: Stable

The 'Stable' outlook reflects CARE Ratings Limited (CareEdge Ratings') expectation that GFL will continue to scale up its secured lending franchise while maintaining comfortable capitalisation, adequate profitability and a prudent risk-management framework. The outlook also factors in the management's demonstrated commitment towards strengthening governance, systems and capitalisation as the company pursue its growth plans.

Detailed description of key rating drivers**Key strengths****Experienced management team**

GFL underwent a change in ownership and management following the acquisition of a controlling stake by Viswanathan Ramachandran in September 2023. He subsequently assumed role of Chairman and Managing Director and has led the change in the company's business model, including portfolio clean-up, strengthening underwriting and collections processes, technology upgrades and geographic diversification. He brings over three decades of experience in the banking and financial services sector, including senior leadership roles at Standard Chartered Bank. The management team was further strengthened with the induction of Shalini Warriar as co-promoter and Chief Executive Officer in May 2025. She brings extensive experience in the banking industry, having previously served as Executive Director at Federal Bank. Induction of experienced promoters and senior management personnel has supported the company's efforts to reposition its business model, strengthen governance processes and scale operations.

Promoters have also demonstrated capital support towards the company's growth plans. In Q1FY27, GFL received an equity infusion of ₹11 crore from existing investors, including ₹5 crore from Viswanathan Ramachandran and ₹5 crore from Shalini Warriar, further strengthening the company's capital base.

GFL is governed by a Board comprising experienced professionals and independent directors and significantly strengthened its senior management team in the last two years across business, credit, risk, technology and operational functions. Experience of the management team and continued promoter support remain key strengths as the company pursues its planned scale-up in operations.

Migration to new processes and systems

Following the change in management in September 2023, GFL undertook a significant overhaul of its technology infrastructure, operating systems and control framework as a part of its broader business transformation. The management focused on strengthening underwriting, collections, governance and operational processes, while progressively replacing legacy systems with integrated digital platforms across the lending lifecycle.

In FY26, the company migrated to a new technology architecture, including an integrated loan origination system (LOS), loan management system (LMS), collections platform, co-lending integrations, business rules engine (BRE) and general ledger interfaces. Migration to the All-Cloud platform in December 2025, enabled a common operating environment across origination, servicing, collections and co-lending activities, reducing reliance on multiple standalone systems.

The company also strengthened its MIS and analytics capabilities through the implementation of centralised reporting and portfolio monitoring tools, which support underwriting, collections, portfolio quality tracking and management oversight. While the revised technology framework is expected to support the company's planned growth and improve operational scalability, its effectiveness will remain monitorable as the business continues to scale rapidly in the medium term.

Adequate capitalisation levels

GFL's capitalisation profile strengthened in FY26, with tangible net worth increasing to ₹90 crore as on March 31, 2026, from ₹75 crore as on March 31, 2025, supported by equity infusion from investors and internal profit accruals. The company's capital position remained comfortable, with CAR and Tier I CAR standing at 40.93% as on March 31, 2026, while gearing remained at 1.64x, providing adequate headroom to support growth and absorb potential losses.

The company received an additional equity infusion of ₹11 crore from existing investors in Q1FY27 to support the planned expansion of its loan book, resulting in tangible net worth increasing to ₹104 crore as on June 30, 2026. Consequently, CAR and Tier I CAR improved to 42.95%, while gearing improved to 1.51x as on June 30, 2026.

Given the management's plans to scale AUM to ₹500-550 crore by FY27-end, the company's ability to maintain adequate capitalisation while pursuing rapid growth remains a key monitorable. However, the current capital position appears adequate relative to the present scale of operations and stated medium-term leverage target of ~2x-2.5x.

Positive Earnings Profile

The company remained profitable in FY26, although earnings moderated compared to the previous year. GFL reported a profit after tax (PAT) of ₹3.01 crore on a total income of ₹32.88 crore in FY26, compared to ₹3.79 crore on a total income of ₹20.02 crore in FY25. Moderation in profitability was primarily driven by a decline in net interest margin (NIM) to 8.25% in FY26 from 9.71% in FY25, following the strategic shift towards lower-yielding secured loan against property (LAP) lending and the curtailment of high-yield unsecured MSME loans. Credit costs increased in the year owing to elevated delinquencies in the unsecured portfolio, the adoption of the 90+ days past due (DPD) non-performing assets (NPA) recognition norm and higher write-offs., while ROTA declined to 1.54% in FY26 from 3.31% in FY25, despite a marginal improvement in the operating expense ratio to 7.59% in FY26 from 7.98% in FY25.

The company reported a profit before tax (PBT) of ₹0.94 crore on a total income of ₹10.92 crore in Q1FY27. Profitability remained supported by an annualised NIM of 8.53%, while credit costs moderated to 1.49% in the quarter. The company reported an annualised ROTA of 1.45% for Q1FY27. ROTA is expected to remain within 1.5%-2% range in the medium term.

Going forward, the company's ability to scale up its secured lending franchise while maintaining NIMs, controlling operating expenses and containing credit costs will remain a key rating monitorable.

Key weaknesses

Limited scale of operations and concentrated portfolio, despite recent growth in business volumes

Following the change in management and strategic repositioning from September 2023, GFL initially focused on strengthening its technology, underwriting, collections and operating infrastructure while resolving legacy portfolio issues. The company recommenced disbursements from Q3FY24 and subsequently entered the LAP segment in May 2025. Consequently, the recently originated portfolio, particularly LAP, remains relatively unseasoned. GFL witnessed a sharp scale-up in operations, with AUM more than doubling to ₹248 crore as on June 30, 2026, from ₹116 crore as on March 31, 2025.

The company's operations remain concentrated in south India, with Tamil Nadu, Kerala and Karnataka collectively accounting for ~68% of AUM as on June 30, 2026. However, geographic concentration in Kerala reduced following expansion into Tamil Nadu and other southern states. The company operates through a branch-led, human-assisted and digitally enabled model, with sourcing, underwriting and collections undertaken through field teams and supported by integrated lending systems.

GFL's portfolio currently comprises secured LAP, co-lending exposures, enterprise loans to non-banking financial companies (NBFCs) and a residual unsecured MSME portfolio. The management intends to position LAP as the principal business segment, targeting a steady-state share of ~60-65% of AUM, while co-lending, enterprise loans and unsecured MSME portfolio, is expected to account for 20-25% and up to 10%, respectively. New disbursements in the direct unsecured MSME segment have been discontinued following elevated delinquencies and credit losses, and existing portfolio is being run down, with its share targeted to reduce to ~3% of AUM by March 2027.

Evolving but limited resource profile

GFL's funding profile remains moderately concentrated, with borrowings primarily comprising term loans and cash credit facilities from banks, supplemented by non-convertible debentures (NCDs) and term loans from NBFCs. The share of bank borrowings declined marginally to 80% as on June 30, 2026, from 83% as on March 31, 2026, indicating some sequential diversification, although it remained higher than 77% as on March 31, 2025.

In FY26 and Q1FY27, GFL expanded its lender base by onboarding AU Small Finance Bank, IDFC First Bank, South Indian Bank and City Union Bank, in addition to its existing relationship with State Bank of India. The company also secured enhanced limits from existing lenders (in FY26 and Q1FY27), including Aditya Birla Capital, Dhanlaxmi Bank, Federal Bank and Unity Small Finance Bank strengthening its access to institutional funding. Despite its modest scale, GFL maintained a competitive weighted-average borrowing cost of 10.34% in FY26, reflecting its ability to access funding on relatively favourable terms.

The management intends to prioritise borrowings from banks and financial institutions at competitive rates, which could support its cost of funds and profitability. However, the company's ability to further diversify its lender and instrument mix, while maintaining adequate funding availability and competitive pricing to support its planned growth, remains a key rating monitorable.

Moderate asset quality metrics

GFL's reported asset quality indicators improved in FY26, aided by write-offs of ₹4.39 crore. The gross NPA (GNPA) ratio declined to 1.32% as on March 31, 2026, from 1.75% as on March 31, 2025, while net NPA (NNPA) ratio improved to 0.79% as on March 31, 2026 from 1.45% as on March 31, 2025. However, write-offs reflect underlying stress arising from seasoning of the loan book and elevated delinquencies in certain Kerala branches within the direct unsecured portfolio. By FY26-end, the company also transitioned to the 90+ DPD NPA-recognition norm ahead of the regulatory deadline of April 01, 2026, which contributed to higher recognition of stressed accounts and subsequent write-offs.

Asset quality moderated in Q1FY27, with GNPA and NNPA increasing to 1.97% and 1.11%, respectively, as on June 30, 2026, from 1.32% and 0.79% as on March 31, 2026. The management attributed this moderation to portfolio seasoning and stress in one LAP account and one co-lending account, which are expected to be resolved by September 2026 end. Correspondingly, overdue assets increased to ₹12.06 crore from ₹8.69 crore, leading to higher provisioning in the quarter.

The ongoing West Asia situation has not materially affected portfolio performance, given the company's limited exposure to remittance-dependent borrowers and the declining share of Kerala in its geographically diversifying portfolio (from 52% in FY25 to 19% in Q1FY27).

The management expects the GNPA ratio to stabilise at ~2-2.50% in the medium term under a steady-state scenario. However, the resolution of identified stressed accounts and movement in early-stage delinquencies remain monitorable.

Liquidity: Adequate

The company's liquidity profile remains adequate, supported by no negative cumulative asset liability mismatches across all time buckets up to one year. As on March 31, 2026, the company held total cash and bank balances of ₹4.35 crore, of which ₹2.94 crore was unencumbered and sufficient to cover roughly 15 days to one month of debt servicing. The company also has investments of ₹1.86 crore in mutual funds (which are lien marked). As on June 30, 2026, unencumbered liquidity stood at ₹5.53 crore, excluding investments.

Applicable criteria

[Definition of Default](#)

[Rating Outlook and Rating Watch](#)

[Financial Ratios - Financial Sector](#)

[Non-Banking Financial Companies](#)

About the company and industry

Industry classification

Macroeconomic indicator	Sector	Industry	Basic industry
Financial services	Financial services	Finance	Non-banking financial company (NBFC)

GFL was incorporated on December 20, 2013, and received its Certificate of Registration as a non-deposit-taking NBFC from the Reserve Bank of India on January 28, 2015. GFL was originally promoted by a group of former bankers, professionals and entrepreneurs. The company underwent a change in control and management from September 15, 2023, pursuant to which Viswanathan Ramachandran and his associates infused fresh capital of ₹24 crore and acquired a 36% shareholding in the company. Viswanathan Ramachandran assumed charge as the Chairman and Managing Director of GFL on the same date. As on August 05, 2026, Viswanathan Ramachandran holds a 32.35% stake in the company.

Shalini Warriar, the co-promoter and Chief Executive Officer, joined GFL in May 2025, and holds 18.42% equity stake in the company as on August 05, 2026.

GFL is primarily engaged in LAP lending to borrowers in the SME segment, with ticket sizes ranging from ₹5 lakh to ₹1 crore and an average ticket size of ₹28–29 lakh. The loan tenure typically ranges between 10 to 15 years. The company also extends direct unsecured loans with ticket sizes below ₹5 lakh, and enterprise loans to other NBFCs, with ticket sizes of up to ₹15 crore.

Brief Financials (₹ crore) (Standalone)	FY25 (A)	FY26 (A)	Q1FY27 (UA)
Total income	20.02	32.88	10.92
Profit after tax (PAT)	3.79	3.01	0.94*
Assets under management (AUM)	115.57	225.76	247.78
On-book gearing (x)	0.90	1.64	1.51
AUM / tangible net-worth (TNW) (x)	1.54	2.50	2.39
Gross non-performing assets (NPA) (%)	1.75	1.32	1.97
Return on managed assets (ROMA) (%)	3.29	1.53	1.45
Capital adequacy ratio (CAR) (%)	66.27	41.90	42.95

A: Audited UA: Unaudited; Note: These are latest financial results available

* Profit before tax (PBT)

Status of non-cooperation with previous CRA: Not applicable

Any other information: Not applicable

Rating history for last three years: Annexure-2

Detailed explanation of covenants of rated instrument / facility: Annexure-3

For complexity level of instruments rated refer to Annexure-1

Lender details: Annexure-4

Disclosure on facilities/instruments and name of the regulators:

A list of facilities / instruments falling under the purview of various financial sector regulators (FSRs) along with the names of respective FSRs has been duly disclosed by CareEdge Ratings on its website. A link to the same has been provided below for ready reference:

https://www.careratings.com/activities_and_regulators

Note: For facilities or instruments falling under the purview of FSRs other than Securities and Exchange Board of India (SEBI), the grievance / dispute redressal mechanisms and investor protection mechanisms provided by SEBI shall not be available.

Annexure-1: Details of instruments/facilities

Name of the Instrument	Name of the Regulator	Complexity Level	ISIN	Date of Issuance (DD-MM-YYYY)	Coupon Rate (%)	Maturity Date (DD-MM-YYYY)	Size of the Issue (₹ crore)	Rating Assigned and Rating Outlook
Fund-based - LT-Cash Credit	RBI	Simple	-		-	-	15.00	CARE BBB-; Stable
Fund-based - LT-Term Loan	RBI	Simple	-		-	15-03-2031	187.00	CARE BBB-; Stable

Annexure-2: Rating history for last three years

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2026-2027	Date(s) and Rating(s) assigned in 2025-2026	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024
1	Fund-based - LT-Term Loan	LT	187.00	CARE BBB-; Stable	1)CARE BB+; Positive (24-Jun-26) 2)CARE BB+; Positive (09-Apr-26)	1)CARE BB+; Positive (07-Apr-25)	1)CARE BB+; Stable (04-Apr-24)	-
2	Fund-based - LT-Cash Credit	LT	15.00	CARE BBB-; Stable	1)CARE BB+; Positive (24-Jun-26) 2)CARE BB+; Positive (09-Apr-26)	1)CARE BB+; Positive (07-Apr-25)	1)CARE BB+; Stable (04-Apr-24)	-

LT: Long term

Annexure-3: Detailed explanation of covenants of rated instruments/facilities: Not applicable**Annexure-4: Lender details**To view lender-wise details of bank facilities please [click here](#)

Note on complexity levels of rated instruments: CareEdge Ratings has classified instruments rated by it based on complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for clarifications.

Contact us

Media Contact Mradul Mishra Director CARE Ratings Limited Phone: +91-22-6754 3596 E-mail: mradul.mishra@careedge.in	Analytical Contacts Hardik Manharbhai Shah Director CARE Ratings Limited Phone: +91-22-6754 3591 E-mail: hardik.shah@careedge.in
Relationship Contact Pradeep Kumar V Senior Director CARE Ratings Limited Phone: 044-28501001 E-mail: pradeep.kumar@careedge.in	Akansha Akshay Jain Associate Director CARE Ratings Limited Phone: +91-22-6754 3491 E-mail: akansha.jain@careedge.in
	Pranav Viswanathan Lead Analyst CARE Ratings Limited E-mail: pranav.viswanathan@careedge.in

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